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Tennessee State Funding Board Guidelines
Debt Reporting by Industrial Development Boards

I. Background

Title 7, Chapter 53 of the Tenn. Code Ann. authorizes the formation of industrial development corporations, also known as industrial development boards (IDBs), for the purpose of maintaining and increasing employment opportunities, agricultural commodities, and available housing, as well as addressing environmental pollution.

Tenn. Code Ann. § 7-53-304 creates transparency related to debt issued by IDBs by requiring an IDB to maintain an aggregate listing of its current debt, including both the direct debt of the IDB and any conduit debt, in accordance with guidelines approved by the Tennessee State Funding Board (SFB) and to report to the SFB any defaults.

Pursuant to Tenn. Code Ann. § 9-21-134, IDBs are also required to report covenant violations and credit rating downgrades to the Comptroller of the Treasury. Those reporting requirements are available at: tncot.cc/debt. - *SFB Guidelines – Debt Reporting by Public Entities*

II. Reporting

A. Annual Report on Outstanding Debt

IDBs have ninety (90) calendar days from the close of the IDB's fiscal year to submit the Annual Report on Outstanding Debt using the reporting format prescribed in Appendix B.

B. Notice of Default

The IDB shall file a notice within fifteen (15) calendar days of the default (see Appendix A for a definition) using the reporting format in Appendix C.

Approved by the State Funding Board at its meeting on January 21, 2020, and amended at the meetings held on June 27, 2023, and June 23, 2025.

Appendix A
Glossary

Authorized Representative – shall mean the individual the IDB has authorized to compile and submit information pursuant to these Guidelines.

Debt – shall mean any bond, note, loan agreement, or other evidence of a debt obligation, including leases that meet the statutory definition of a financing lease pursuant to Tenn. Code Ann. § 9-24-102. Debt does not include credit and liquidity facilities and standby or drawdown loan agreements that have not been drawn on or utilized. Debt includes both IDB and conduit debt obligations as described below.

1. **IDB Debt** (also referred to as direct debt of the IDB) shall mean debt in which the IDB incurs a definite and absolute obligation to the payment of the principal of and interest on the debt obligation.
2. **Conduit Debt** shall mean debt issued by the IDB to provide capital financing for a public, private, or nonprofit entity other than the IDB.

Default – shall mean:

1. A failure to pay principal of or interest on a debt when it is due if defined as a default in the indenture; or
2. Insufficiency of funds to make scheduled debt payments, but not defined as a default in the indenture; or
3. Receipt by the IDB of a notice of an event of default from a conduit borrower.

Default does not include situations where such failure has been waived by the holder(s) of the debt.

Industrial Development Corporation/Board or **IDB** – shall mean any corporation organized pursuant to Tenn. Code Ann, Title 7, Chapter 53.

Report on Debt Obligation – shall mean the statutory reporting as prescribed in Tenn. Code Ann. § 9-21-134(c) and as outlined in the *SFB Guidelines – Debt Reporting by Public Entities*.

Report on Outstanding Debt – shall mean the annual listing of debt to be submitted by the Authorized Representative, using the reporting format as prescribed in Appendix B.

Appendix B
Industrial Development Boards
Report on Outstanding Debt
Format

The Industrial Development Board (IDB) must prepare a listing of its currently outstanding debt. The information indicated below is required to be included in the listing. In order to prepare the listing, IDBs should locate and review annual financial reports, closing transcripts, and board minutes. If the IDB is unable to obtain the required information, the Authorized Representative must furnish a statement of the efforts undertaken to obtain the information, the problems encountered in obtaining the information, and the efforts to be undertaken to subsequently obtain the information. IDBs are also encouraged but not required to collect the recommended information for each debt issue.

An online reporting form that meets minimum reporting requirements is available at: tncot.cc/debt.

I. Required Information

A. IDB information to provide:

1. Name of IDB as listed in the certificate of incorporation.
2. County or Counties in which the IDB is located.
3. List of the current IDB Board Members and the Authorized Representative, including their name, title, company/government, email address, and phone number.
4. As applicable, identify the IDB Counsel and Financial Advisor, including their name, title, company, email address, and phone number.

B. Listing of Currently-Outstanding Debt – For each issue of debt, provide:

1. The name of the debt and date it was issued.
2. The date of the final maturity or final principal payment on the debt.
3. The original dollar amount of the debt.
4. The name of the project financed or a description of the purpose for the debt, indicating whether the debt is a direct debt of the IDB or a Conduit Debt Obligation. Do not include Non-debt (PILOT/Leasehold.)
5. If the Report on Debt Obligation was filed with the Division of Local Government Finance.

II. Recommended Additional Information for Each Issue of Debt

A. The dollar amount of the principal outstanding as of the end of fiscal year.
B. The federal tax status (taxable or tax-exempt).
C. The type of issuance (publicly sold, direct placement, or loan).
D. As applicable, the name and contact information for the trustee, paying agent, or debt holder.

Appendix C
Industrial Development Boards
Notice of Default Form

The Industrial Development Board (IDB) must give notice to the State Funding Board (SFB) of default on any IDB or Conduit Debt Obligation within fifteen (15) calendar days of the event or of receipt of notice of default. A copy of any notice of default received by the IDB must be included with the Notice of Default to the SFB. Also, a copy of the official statement, offering memorandum, or loan document, as applicable, related to the debt should be included as part of the notice. If a notice of default received by the IDB contains the required information and is attached to the IDB's submission to the SFB, the IDB does not have to restate such information. If the IDB is unable to obtain all the required information, the IDB should furnish a statement of the efforts undertaken to obtain the required information, the problems encountered in obtaining the information and the efforts to be undertaken to subsequently obtain the information.

An online reporting form that meets minimum reporting requirements is available at: tncot.cc/debt.

The following items should be included in the Notice of Default:

A. **Name of IDB:** Legal name as listed in its certificate of incorporation.

B. **Contact Information:** Include the name, title, company/government, phone number, and email address for the IDB President or Chair, IDB Counsel, Financial Advisor (if applicable), Obligor (if applicable), and Authorized Representative.

C. **Name of Debt Issue:** As reported on the official statement or offering memorandum or other loan document (for example: "Tax Increment Revenue Bonds (ABC Project), Series 2014").

D. **Description of Debt:** Include sources of revenue pledged to repay the debt and, if applicable, the lien position of revenues that are associated with other outstanding debt.

E. **Type of Default:** Refer to defined terms in Appendix A.

F. **Date of Default:** Either the date the IDB defaulted on debt, had insufficient funds to pay debt service but was not a default under the indenture, or the date on which the IDB received notice of default from a conduit borrower.

G. **Date Default Reported on EMMA:** If applicable, the date the defaulted principal and/or interest payment was reported to the MSRB's Electronic Municipal Market Access (EMMA) system.

H. **Reason for Default and Plans to Cure:** Describe the events leading to default and when applicable, plans to cure it.

I. **Additional Comments:** Include any comments pertinent to the defaulted debt issue that are not otherwise addressed within the notice.

J. **Signature:** The Authorized Representative should date and submit the notice within fifteen (15) calendar days of the default.